



Costs Decision

Site visit made on 10 July 2026

by Mr D Szymanski BSc (Hons) MA MRTPI

an Inspector appointed by the Secretary of State

Decision date: 15th September 2026

Costs application in relation to Appeal Ref: 6007334

Hillcrest, Chalton, Luton LU4 9UB

- The application is made under the Town and Country Planning Act 1990, sections 78, 322 and Schedule 6, and the Local Government Act 1972, section 250(5).
 - The application is made by Hillcrest Homes (BEDS) Ltd for an award of costs against Central Bedfordshire Council.
 - The appeal was against the refusal to grant permission in principle for residential development comprising a minimum of 1 and a maximum of 9 dwellings.
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Decision

1. The application for an award of costs is refused.

Reasons

2. Parties in planning appeals normally meet their own expenses. However, the Planning Practice Guidance (PPG) advises that costs may be awarded against a party who has behaved unreasonably and thereby caused the party applying for costs to incur unnecessary or wasted expense in the appeal process.
3. Paragraphs 16-047-20140306 and 16-049-20140306 of the PPG set out non-exhaustive examples of unreasonable behaviour. Procedurally this can include a lack of co-operation with the other party or parties. Substantively these can include preventing or delaying development which should clearly be permitted, having regard to the development plan, national policy and any other material considerations, making vague, generalised, or inaccurate assertions about a proposal's impact, and not determining similar cases in a consistent manner.
4. The appellant asserts that the Council failed to engage with a Unilateral Undertaking (UU) submitted by their solicitor, ignored it in its statement of case, misinterpreted national policy and caselaw, and did not address submissions made by them in response to the reasons for refusal. The Council considers it engaged proactively and consistently with the UU following the refusal through its procedures with their legal team, it had full regard to the evidence including caselaw, and has not misinterpreted national policy or caselaw in its decision.
5. There is no reason for me doubt and indeed no dispute that in principle, a financial contribution towards habitats site mitigation would meet the tests in CIL Regulation 122. The evidence suggests the Council supplied its standard UU template to the appellant shortly after it was requested, with advice it may need tailoring to the Permission in Principle (PIP) format, and if they wish to engage with the Council's legal department reasonable legal fees must be paid. It is at the appellant's discretion whether they pursue this route, or act independently.

6. It seems that enquiries were made as to the planning officer's view upon a draft UU, albeit they are not a qualified legal professional, and the appellant was referred to the Council's legal department with an assurance sought they were willing to provide reasonable legal fees. The decision letter for Ref. 3337981¹ appears to be in respect of whether or not legal fees should be incorporated into a planning obligation, which is a separate matter to them being sought for the appraisal of a draft obligation, so does not demonstrate unreasonable behaviour.
7. It is understood a solicitor was assigned by the Council and their legal process initiated, although a different solicitor acting on behalf of the appellant sought to engage the planning officer's opinion on a different UU, rather than engage with the legal department. It is not unreasonable behaviour for a Council officer to have reservations about agreeing the provisions of a legal document which requires consideration of its legal content, which would ordinarily require specialist input.
8. The finalised UU was submitted after the deadlines for a written representations appeal, and also after the Council's statement of case (SoC) was submitted. Such submissions are only accepted at an Inspector's discretion. As there was no signed UU at the time, and it understood a completed UU would be provided to the Inspectorate, it was not unreasonable for the Council limit its discussion of this in its SoC. Neither was it unreasonable for the Council to choose not to provide full substantive comments on the UU in its submissions until after it had been accepted by me. Were it not to have been accepted, it would be a waste of resources.
9. Incorporating the up-to-date correct financial contribution, which I understand to be publicly available information, is entirely within the gift of the appellant, as to is adapting a legal template to cater for a PIP application. I formally invited comments upon the UU once I had agreed to accept it. The comments the Council did provide at the times it did appear valid, and their contribution figures correct.
10. It is not unusual for a Council not to have a legal template for all application types, and it would be expected qualified legal input would be necessary to create a bespoke UU. The correct financial contributions, and that there is no legal doubt they are legally secured at the PIP stage for any number and size of dwellings at the TDC stage, is of fundamental importance to complying with duties under Regulation 63 of the Conservation of Habitats and Species Regulations. The incorrect UU contribution means full, adequate mitigation is not secured.
11. In-light of the foregoing, unreasonable behaviour resulting in unnecessary or wasted expense in these regards is not demonstrated. Moreover, the appellant had the opportunity to amend the UU to address the flaw in respect of the level of contributions and also provide observations or amend the UU, following receiving the Council's substantive comments. Yet no revised UU and rebuttal addressing technical legal points raised, has been received by me.
12. In terms of the Council's approach to and reasoning in respect of Grey Belt, there are four tests, expressed cumulatively, not alternatively, so all tests must be met. These are set out primarily in policy, not in law, although some judgements can aid interpretation. The Council set out a reasoned planning judgement on the first limb of the first test based upon the evidence before it, which it considered was failed. So, it would not have changed the outcome of the application or prevented the appeal, were the Council to have engaged with other tests.

¹ APP/N0410/W/24/3337981.

13. While I have disagreed as a matter of planning judgement with the Council, the Council's judgement is neither irrational or without reasoning or merit. It has substantiated its reason for refusal and unreasonable behaviour is not demonstrated in this regard. That it did not completely engage with the remaining tests is potentially of detriment to its own case at appeal, and I have found in favour of the appellant upon these matters. However, it is not unreasonable for the Council not to pursue a view that would have made no difference to the outcome of the application. Moreover, its officer report provides some useful material in respect of other Grey Belt tests and highlighting them again, would only have repeated evidence.
14. The OT15 judgement is materially different to the circumstances in this appeal, in that both main parties agreed that land did not strongly contribute to the relevant Green Belt purposes. From the extract and commentary provided, its focus is on the test being related to land, and commentary upon 'fundamentally undermining' the Green Belt purposes, which is a separate test. The Council does not appear to dispute any of the points it raises, only its degree of relevance to this appeal.
15. In appeal Ref. APP/D2320/W/25/3376051 (Shelley Drive), the evidence is that the Inspector made a planning judgement upon the first limb upon a site situation that is not the same as this appeal scheme and subsequently considered the second limb of 155a). Although it does indicate the ordered approach to assessment of the tests under paragraph 155a), its outcome is of limited relevance to this appeal.
16. The engagement with and views the Council has set out in respect the UU, OT15 and the Shelley Drive decision are reasoned, and are not irrational or unreasonable. Therefore, I do not find the Council has behaved unreasonably in its approach and assessment to whether or not the land comprises Grey Belt.

Conclusion

17. For the reasons set out above, unreasonable behaviour that has resulted in unnecessary or wasted expense in the appeal process, has not been demonstrated, so an award of costs is not warranted.

Dan Szymanski

INSPECTOR